

CUSTOMER LOOKBOOK

by Zia Malik · 31.8M purchases from 1.37M customers · Sep 2018 - Sep 2020

Who They Are

Who Comes Back

Who's Worth Most

Who's Leaving

What They Buy

Where to Act

Notes

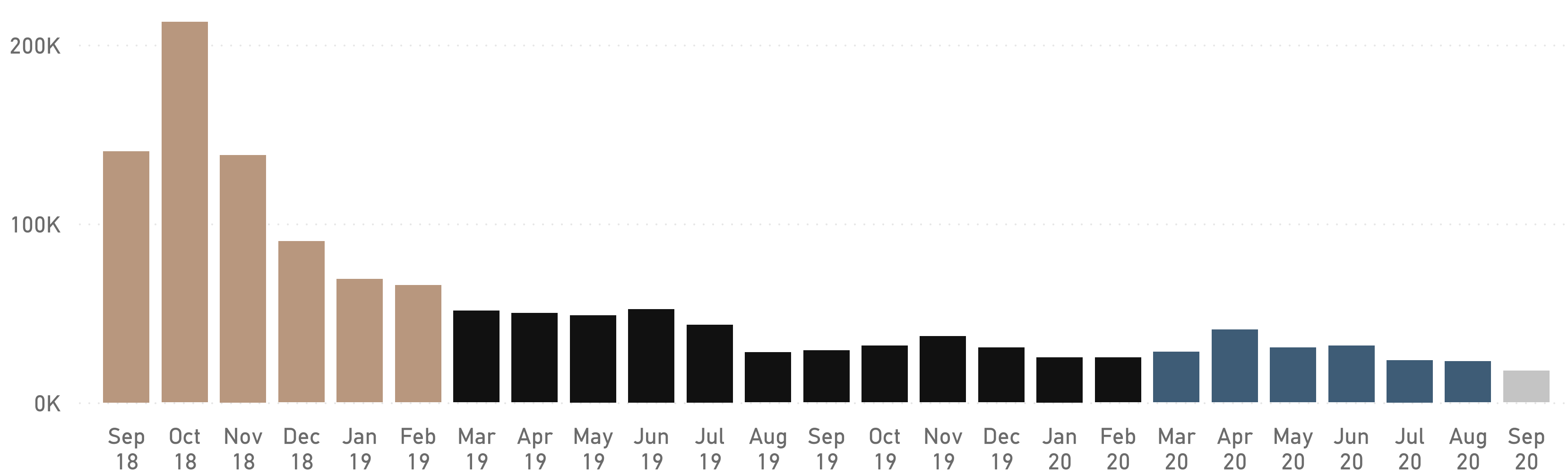
01 WHO ARE THE CUSTOMERS?

H&M customers: 46% shop only online, 19% only in stores

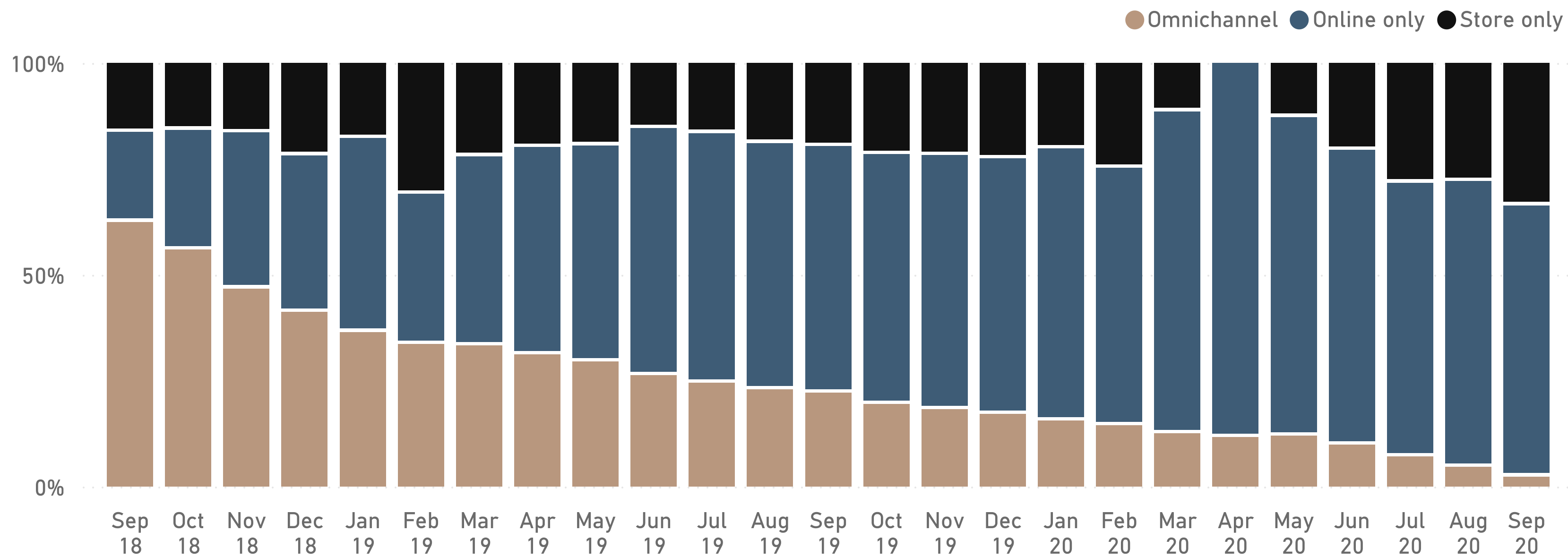
1,371,980 customers · 35% shop both online and in stores · who they are, when they joined and where they shop

New customers peaked in Jun 2019 (52K); during COVID, 21% fewer joined each month

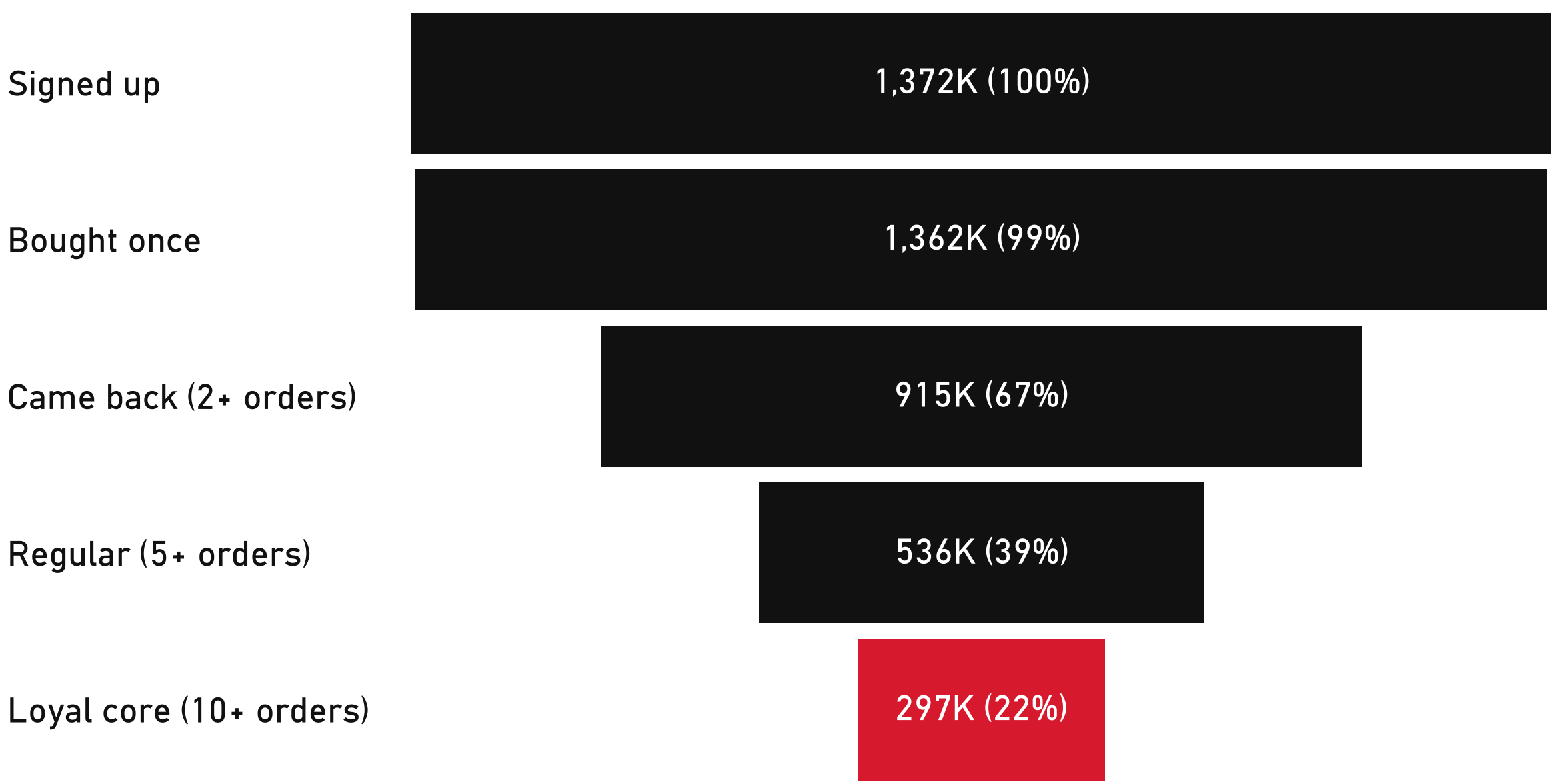
Tan: first months, which include existing customers · black: before COVID · blue: COVID · gray: partial month



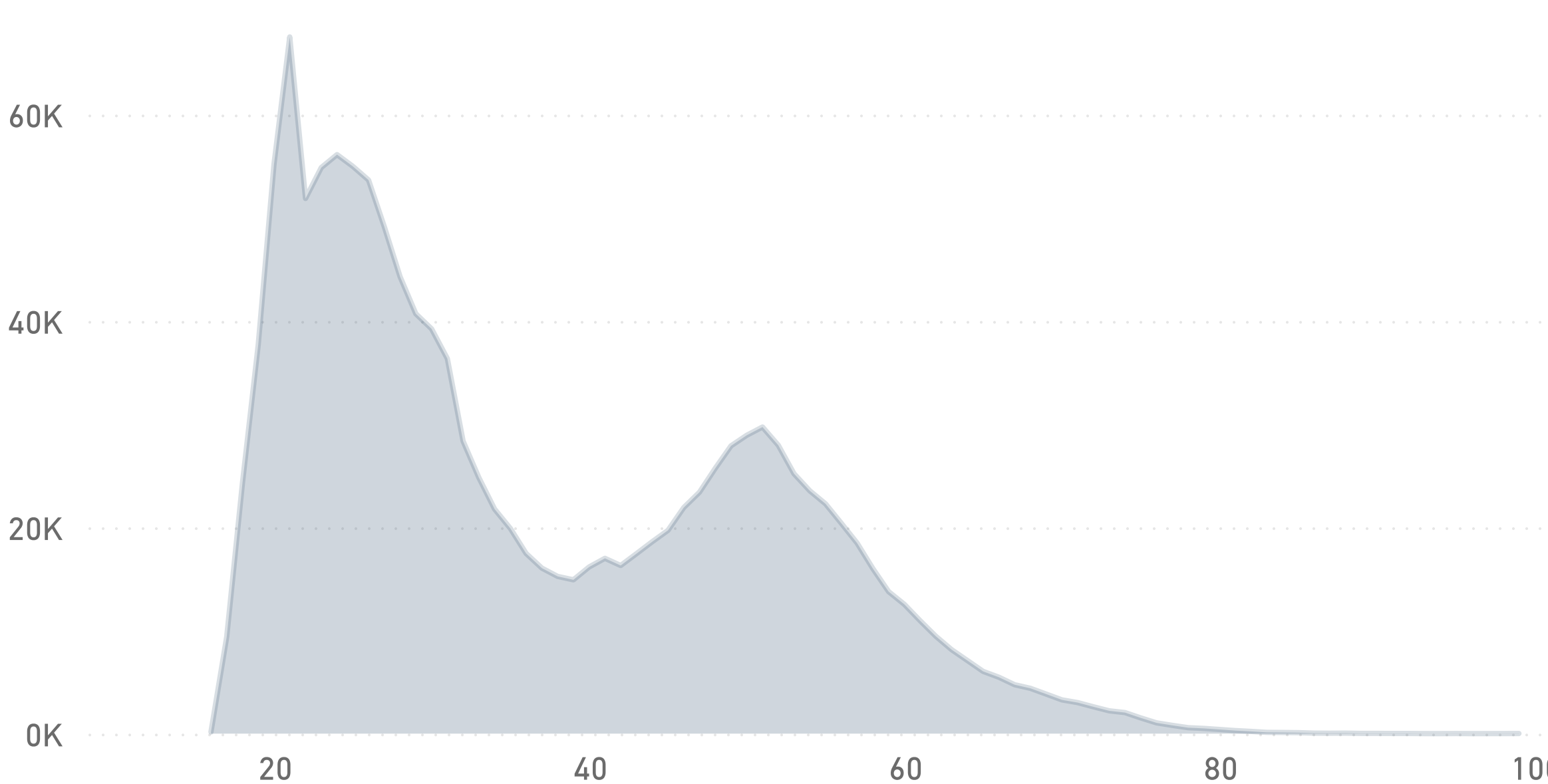
24% of customers who joined before COVID shop online and in stores; only 9% of COVID joiners do



67% ordered twice; 39% ordered 5 or more times



Customer ages peak twice: around 21 and around 51



THE NUMBERS

1.37M

Customers

99.3% have bought at least once

35.0K

New customers per month

Busiest month: Jun 2019 (52K)

35.5%

Shop online and in stores

Online only 46% · Store only 19%

92.7%

Active club members

Average age 36

FILTER BY AGE

16-24

25-34

35-44

45-54

55-64

65+

N/A

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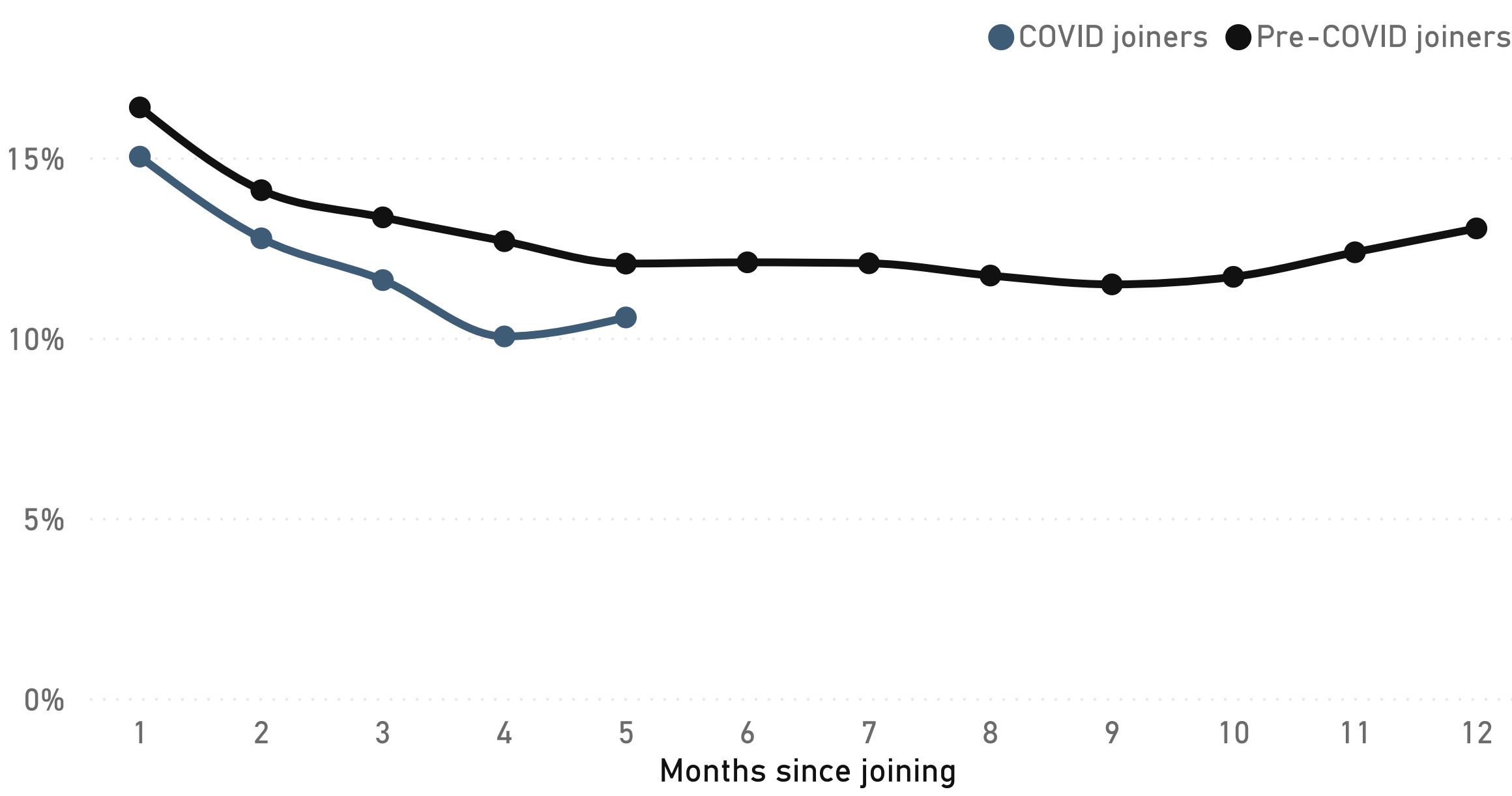
02 DO THEY COME BACK? H&M customers: 16% come back a month after joining; 12% after six months

67% of customers came back at least once · each row is the group of customers who joined that month · joiners from Mar 2019

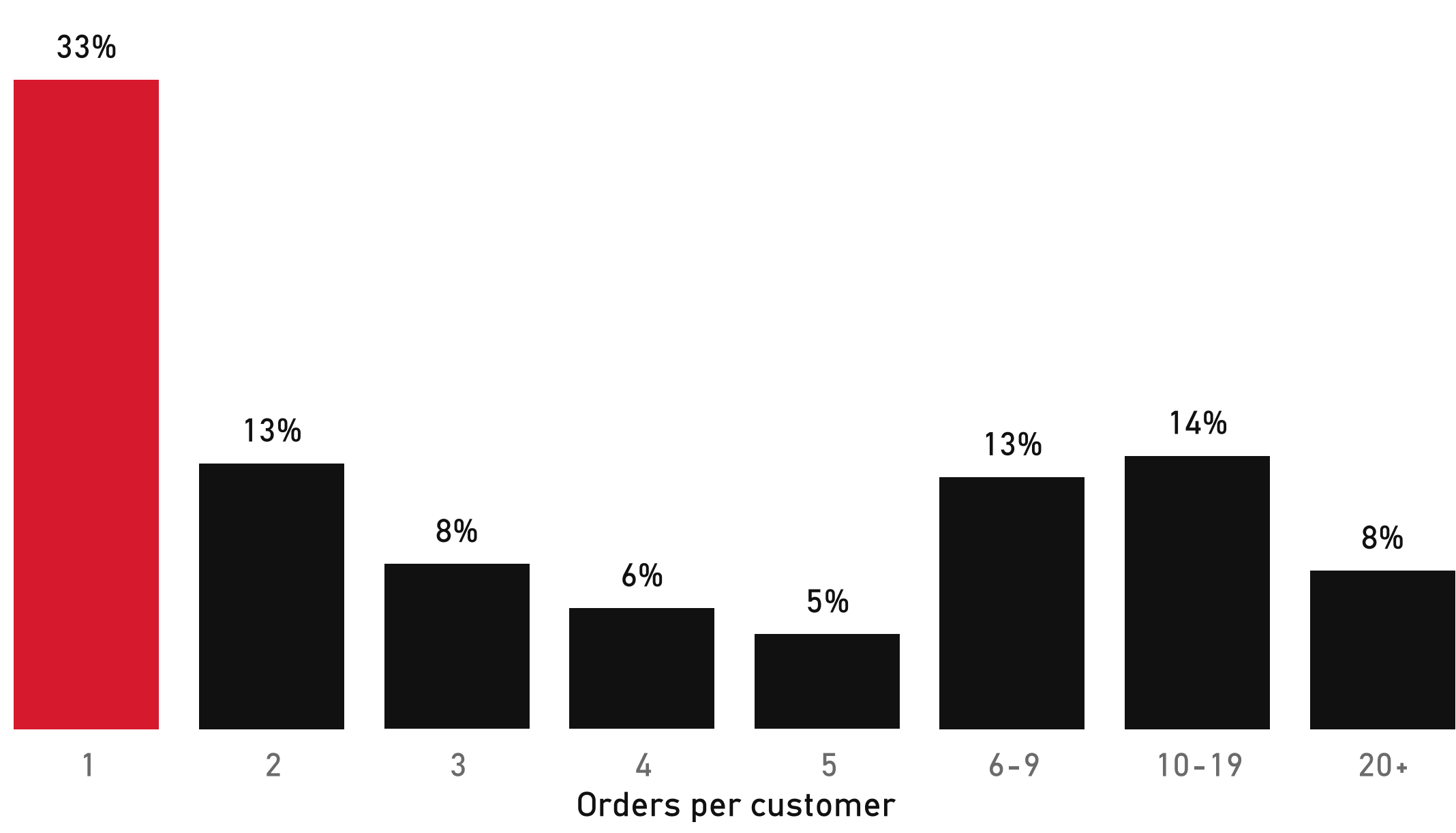
Customers who joined in May 2019 came back most the next month (21%); Feb 2020 joiners least (12%)

Joined	1	2	3	4	5	6	7	8	9	10	11	12
Mar 2019	19%	18%	20%	19%	14%	15%	15%	16%	15%	13%	13%	12%
Apr 2019	19%	20%	18%	14%	13%	14%	15%	14%	12%	12%	11%	12%
May 2019	21%	18%	13%	13%	13%	14%	14%	12%	11%	10%	11%	13%
Jun 2019	20%	12%	12%	12%	13%	12%	11%	10%	9%	11%	12%	15%
Jul 2019	14%	12%	12%	12%	12%	10%	10%	9%	10%	11%	15%	13%
Aug 2019	14%	13%	13%	13%	11%	10%	9%	10%	11%	14%	13%	12%
Sep 2019	16%	14%	14%	11%	11%	10%	11%	11%	14%	12%	12%	
Oct 2019	15%	13%	10%	10%	9%	10%	11%	13%	11%	10%		
Nov 2019	14%	10%	10%	9%	9%	10%	13%	11%	10%			
Dec 2019	12%	11%	9%	10%	11%	13%	11%	10%				
Jan 2020	13%	10%	11%	11%	13%	12%	11%					
Feb 2020	12%	10%	11%	13%	11%	10%						
Mar 2020	15%	12%	14%	11%	11%							
Apr 2020	14%	14%	10%	9%								
May 2020	18%	13%	11%									
Jun 2020	15%	11%										
Jul 2020	14%											

3 months in, 12% of COVID joiners still buy (13% before)



33% bought only once; a typical customer ordered 3 times



THE NUMBERS

16.0%

Back the month after joining

After 3 months: 13% · after 12: 13%

67.2%

Came back at least once

A typical customer orders 3 times

15.0%

Back next month, COVID joiners

vs 16% for those who joined before COVID

6.7

Orders per customer

22% ordered 10 or more times

FILTER BY AGE

16-24

25-34

35-44

45-54

55-64

65+

N/A

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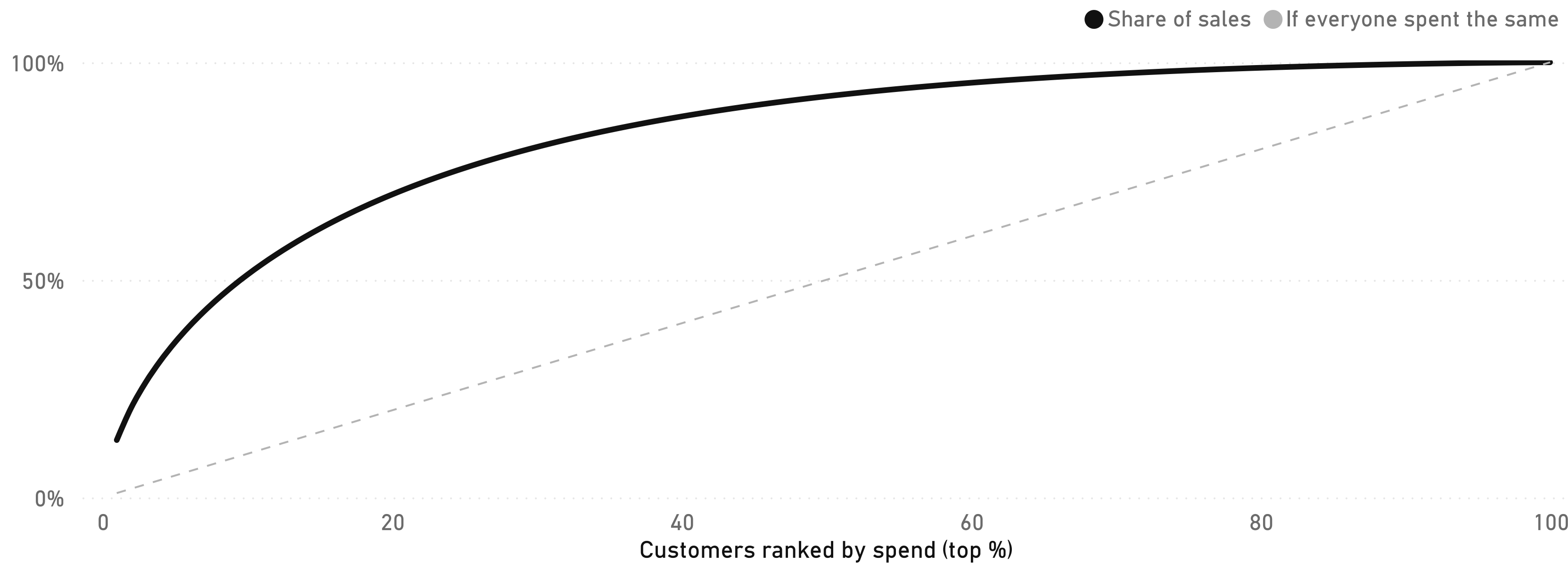
03

WHO'S WORTH THE MOST?

H&M customers: 19% are best customers and bring in 61% of sales

Customers are grouped by how recently, how often and how much they buy, as of 22 Sep 2020 · best customers = the 'Champions' group · prices scaled by H&M

The top 20% of customers bring in 70% of sales; the bottom half, just 8%

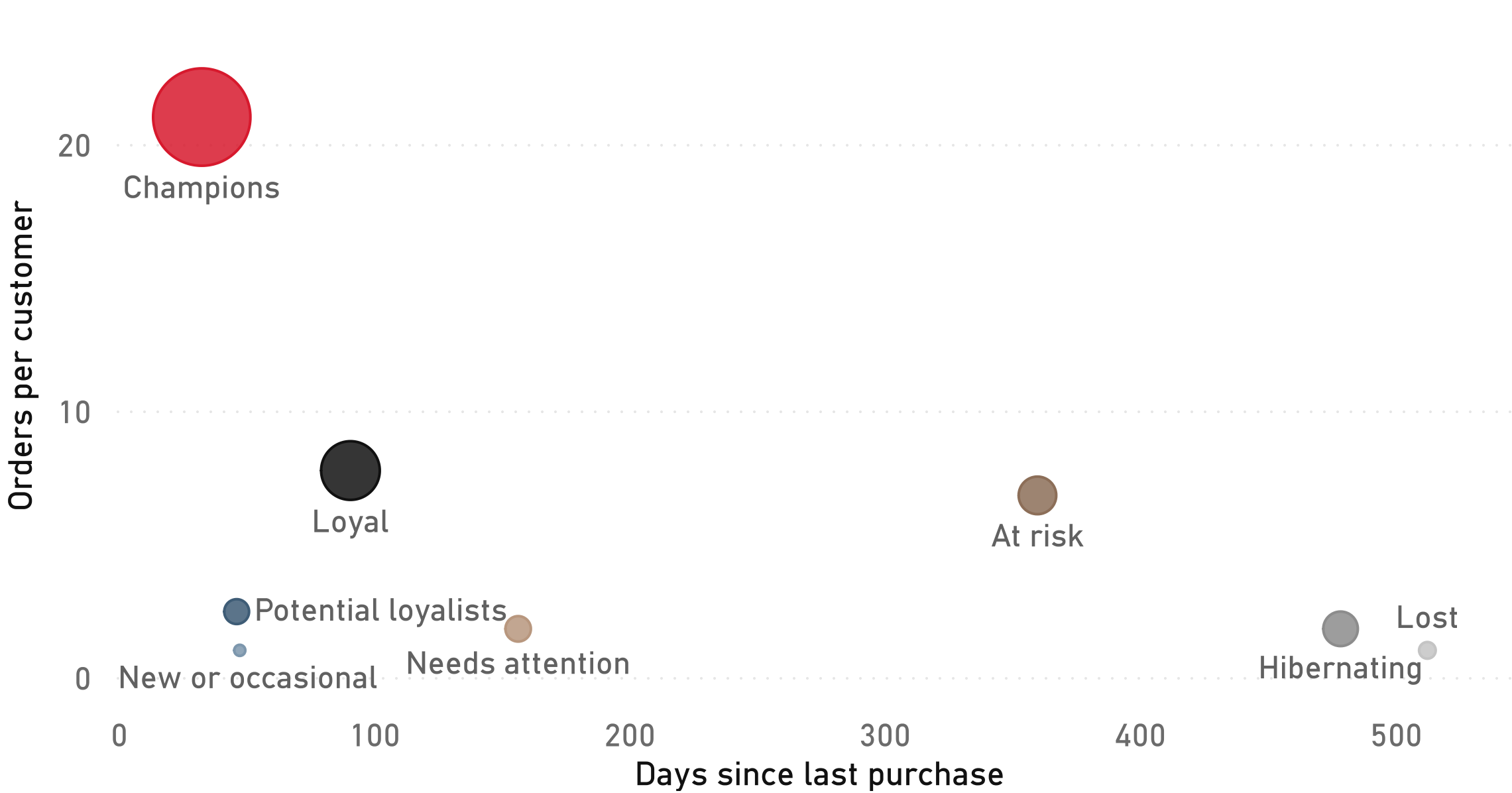


Recent, frequent big spenders spend 60 times more each than quiet one-off buyers

Rows: how recently they bought · columns: how often and how much (5 = most)

How recently (5 = recent)	1	2	3	4	5
5	1%	1%	2%	4%	11%
4	2%	2%	3%	6%	8%
3	3%	4%	4%	5%	3%
2	5%	6%	5%	4%	1%
1	8%	8%	3%	1%	0%

Best customers bought 33 days ago; lost ones, 17 months



6% are 'At risk': once regular, now gone quiet

Customer group	Customers	Sales	Sales vs size	Days since last buy
Champions	18.7%	60.9%	3.3x	33
Loyal	18.2%	20.1%	1.1x	91
Potential loyalists	8.8%	2.5%	0.3x	46
New or occasional	2.5%	0.2%	0.1x	48
Needs attention	11.7%	2.6%	0.2x	157
At risk	6.3%	7.1%	1.1x	360
Hibernating	21.5%	5.8%	0.3x	479
Lost	12.3%	0.8%	0.1x	513

THE NUMBERS

60.9%

Sales from best customers

From just 19% of customers

69.6%

Sales from the top 20%

The top 1% alone: 13%

0.65

Sales per customer (scaled)

Best customers spend 3.3 times the average

40.1%

Customers going quiet

They made 14% of all past sales

FILTER BY AGE

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65+

N/A

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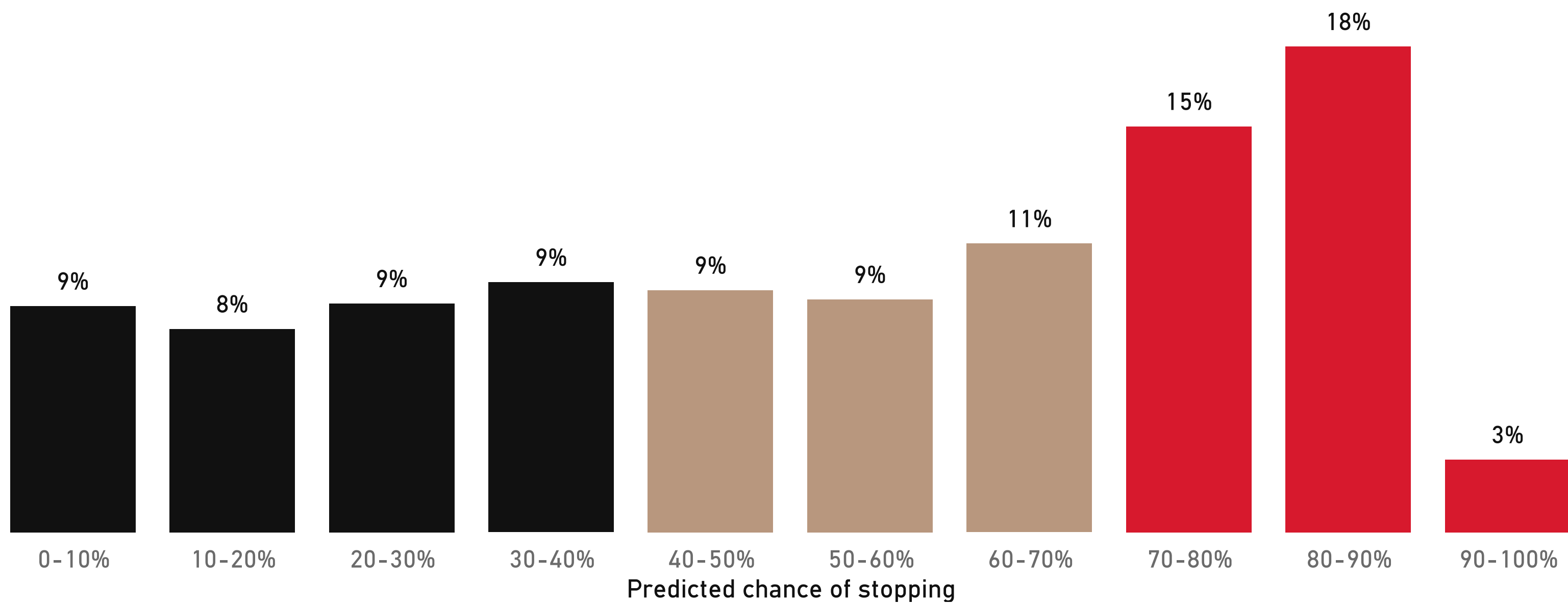
04 WHO'S LEAVING, AND WHY? H&M customers: 53% are likely to stop buying in the next 3 months

Stopped buying = no purchase for 3 months · in real data, 56% of customers active in Jun 2020 stopped · predictions as of 22 Sep 2020

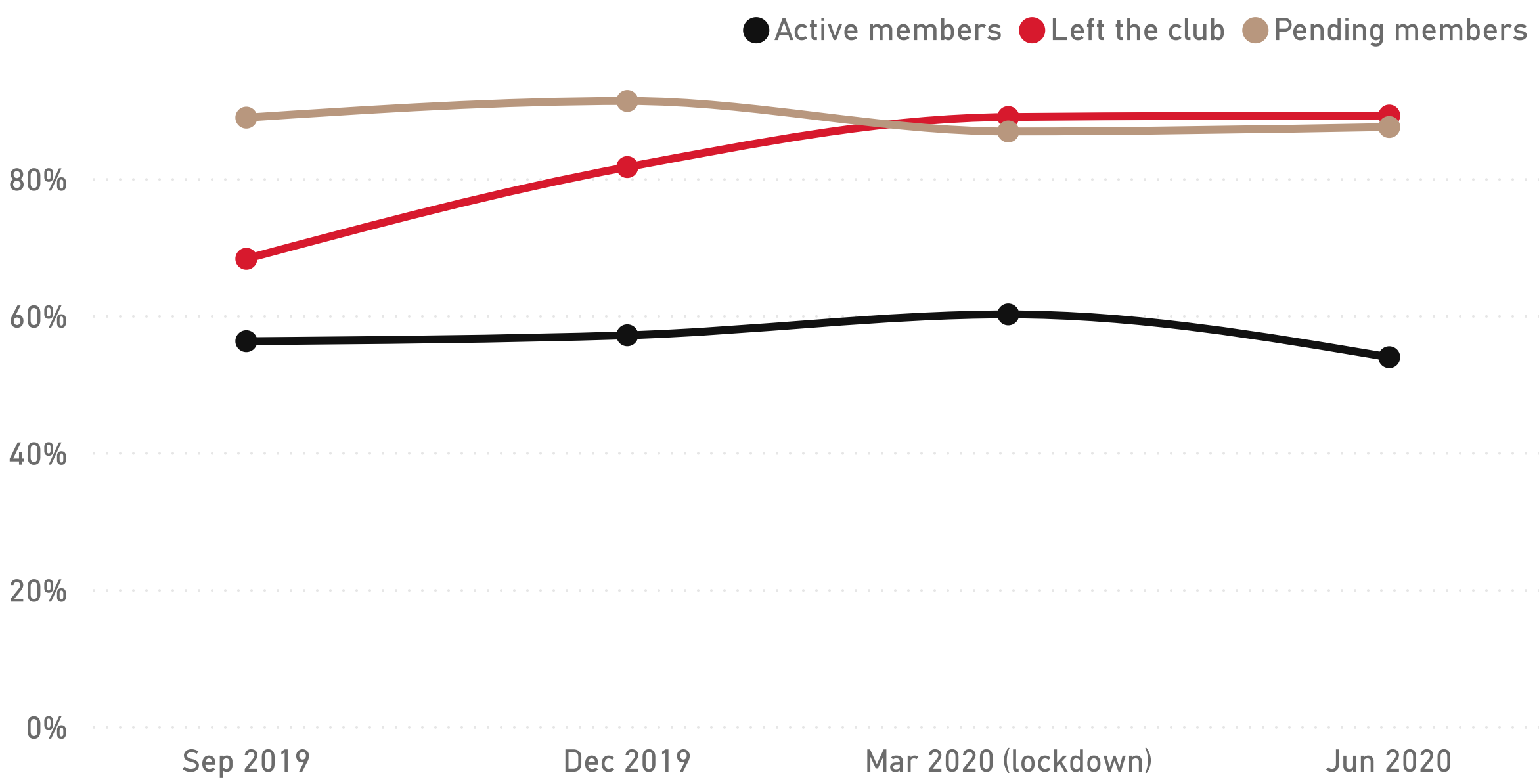
85% stopped buying (1 order, last seen 181–365 days ago) vs 7% (10+ orders, 0–30 days)

Last purchase	1 order	2–3 orders	4–9 orders	10+ orders
0–30 days	71.2%	50.2%	26.6%	6.9%
31–90 days	79.7%	60.0%	34.1%	13.3%
91–180 days	82.0%	61.9%	40.4%	23.1%
181–365 days	85.0%	70.5%	54.8%	53.2%

363K customers have a 70% or higher chance of stopping; 34% are under 40%



87% of pending members stopped vs 54% of active ones



73% right vs 56% by guessing

80.3%

Ranking score

Picks the leaver over the stayer 80% of the time

72.8%

Flags that were right

73% of flagged customers did stop

Finds 82% of those who stop

82.3%

Leavers found

Flags 82 of every 100 who stop

73.1%

Calls that were right

Guessing gets 56%

THE NUMBERS

52.9%

Likely to stop buying

About 526K of 993K recent customers

36.6%

High risk of stopping

363K customers at 70% or higher

55.5%

Stopped after Jun 2020

Dec 2019: 59% · Mar 2020 lockdown: 62%

87.5%

Pending members who stopped

vs 54% for active members

FILTER BY AGE

16–24

25–34

35–44

45–54

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65+

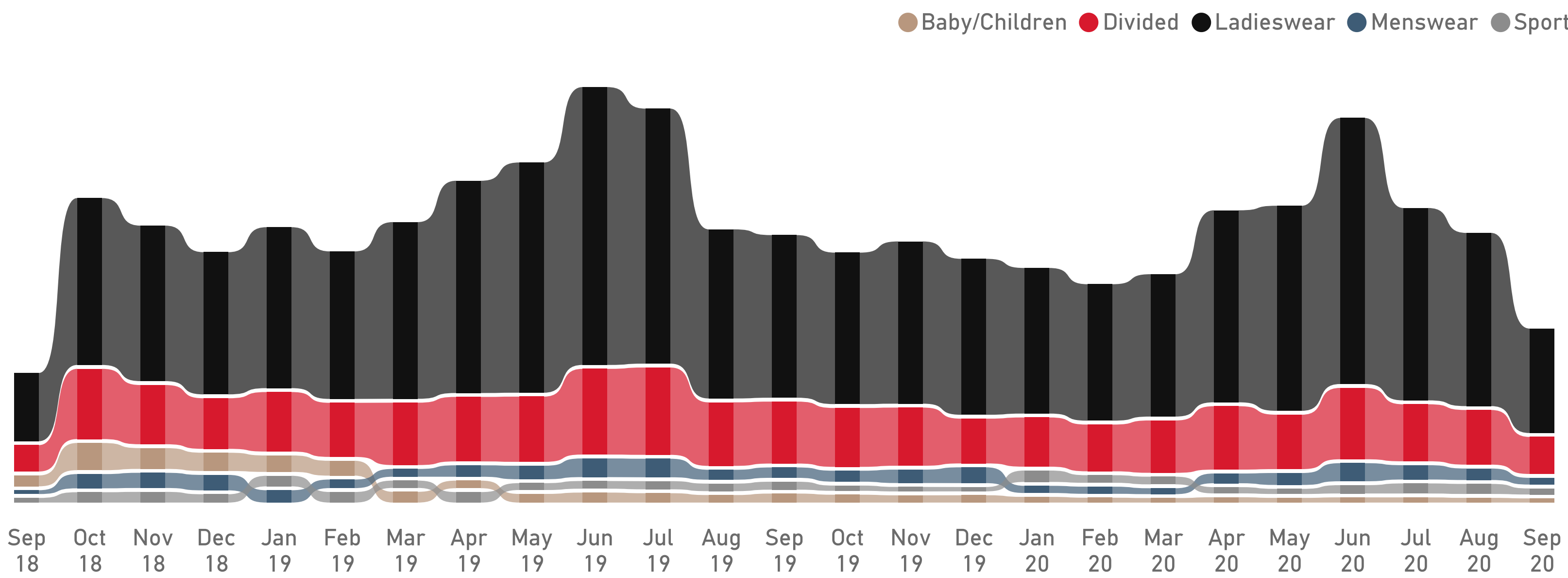
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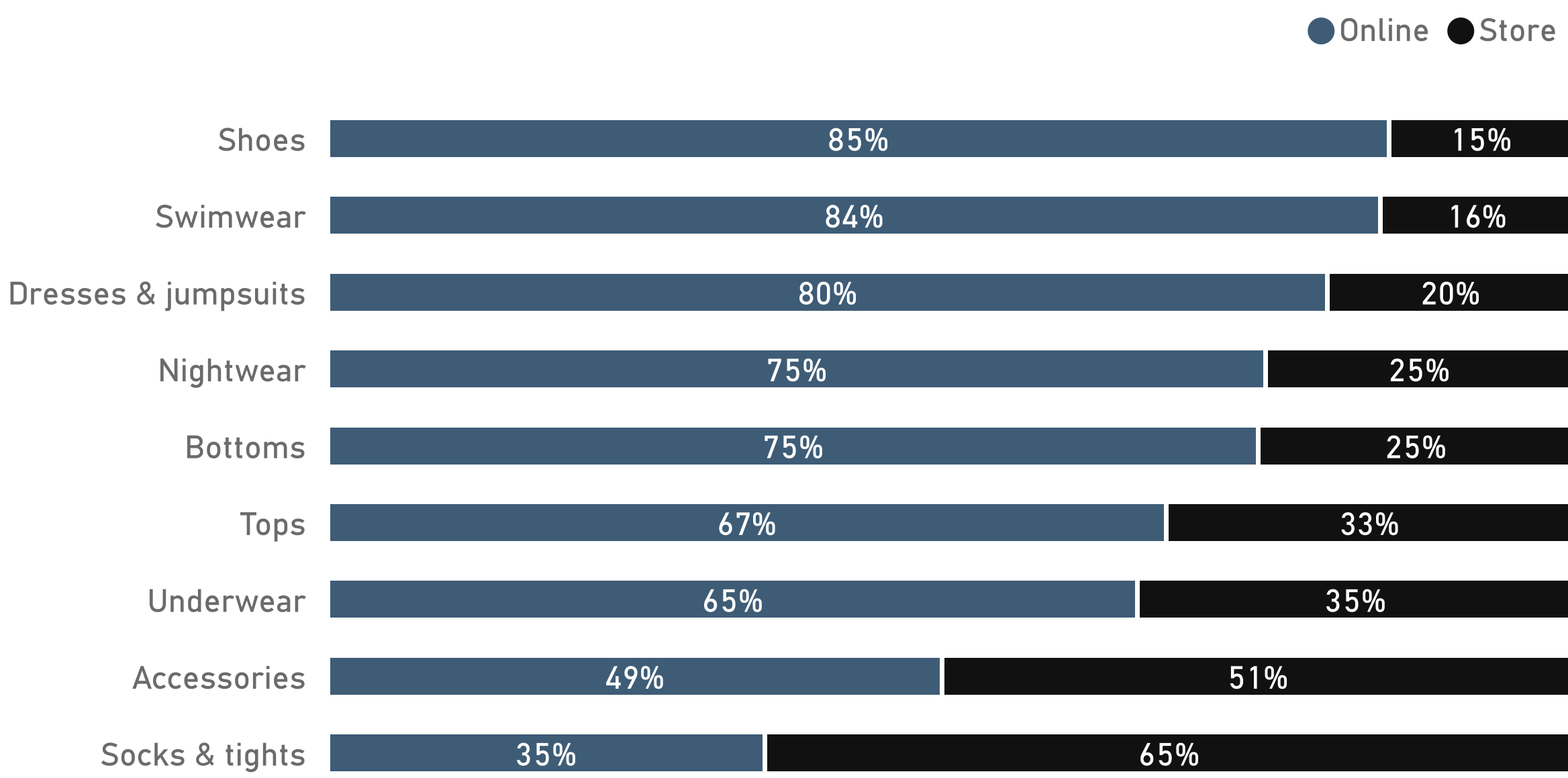
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05 WHAT'S IN THE BAG?
H&M customers: online rose from 69% to 74% of items sold in COVID
31.8M items sold · COVID (Mar-Sep 2020) is compared with the same months a year earlier · price groups split products into five equal bands

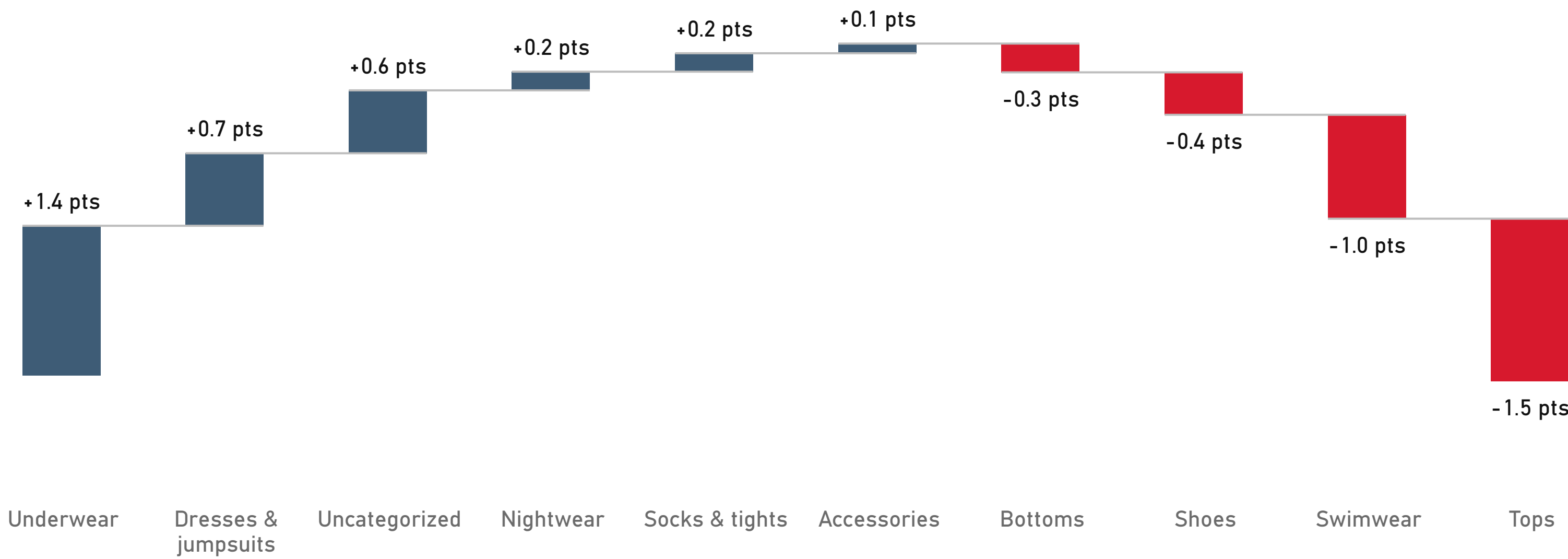
Ladieswear is 64% of items sold; Divided, H&M's young fashion line, is next at 22%



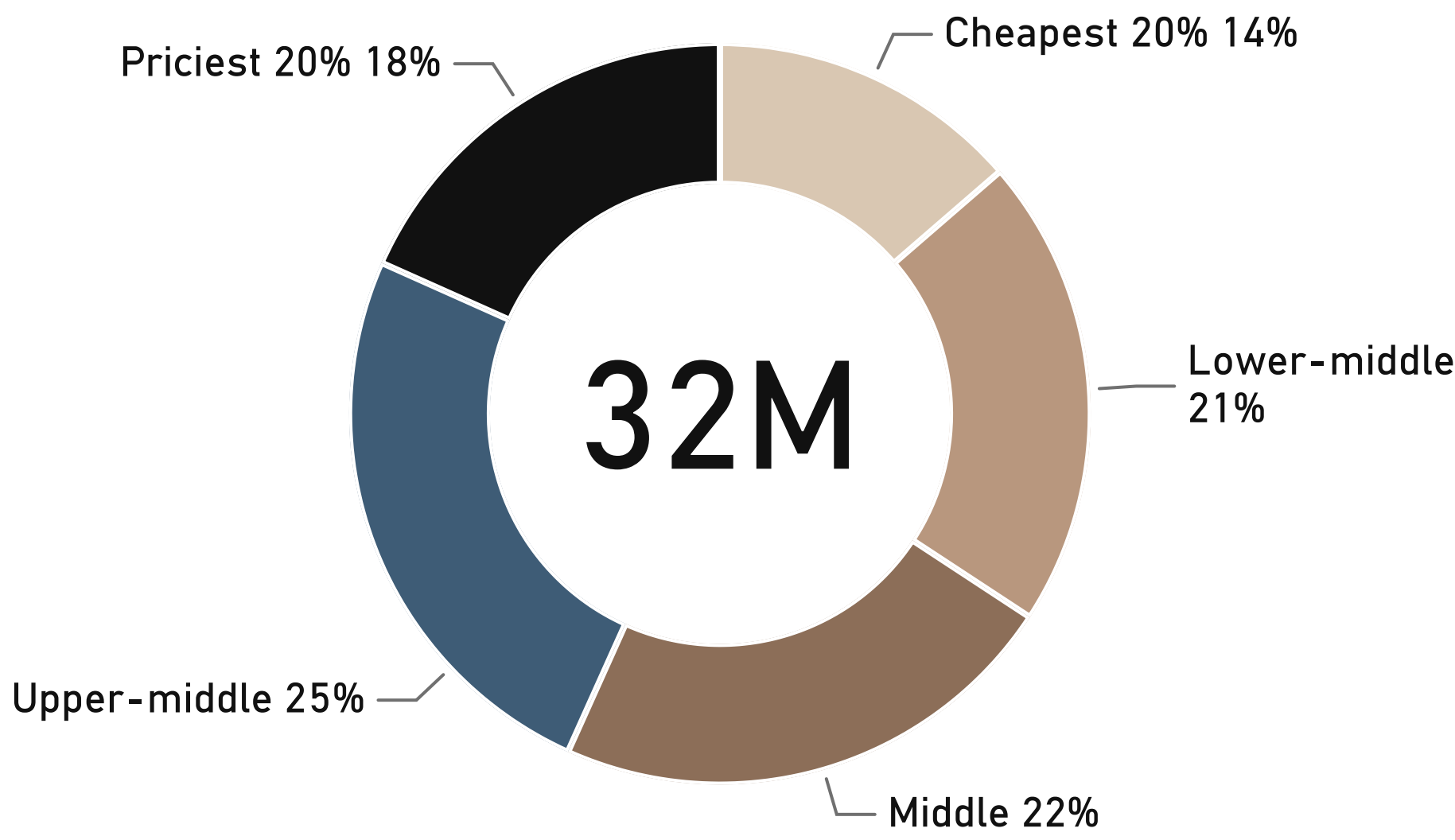
85% of shoes sell online vs 35% of socks & tights



In COVID, underwear won the most share of items sold (+1.4 points); tops lost the most (-1.5)



Cheapest 40% of products make 34% of items sold



THE NUMBERS

73.8%

Items bought online, COVID
vs 69% the year before

-12%

Items sold vs a year earlier
Online -6% · store -24%

64.2%

Items from the top group
Ladieswear sells the most

+1.4 pts

Biggest COVID gain
Underwear · biggest drop: Tops

FILTER BY AGE

16-24	25-34	35-44	45-54
55-64	65+	N/A	

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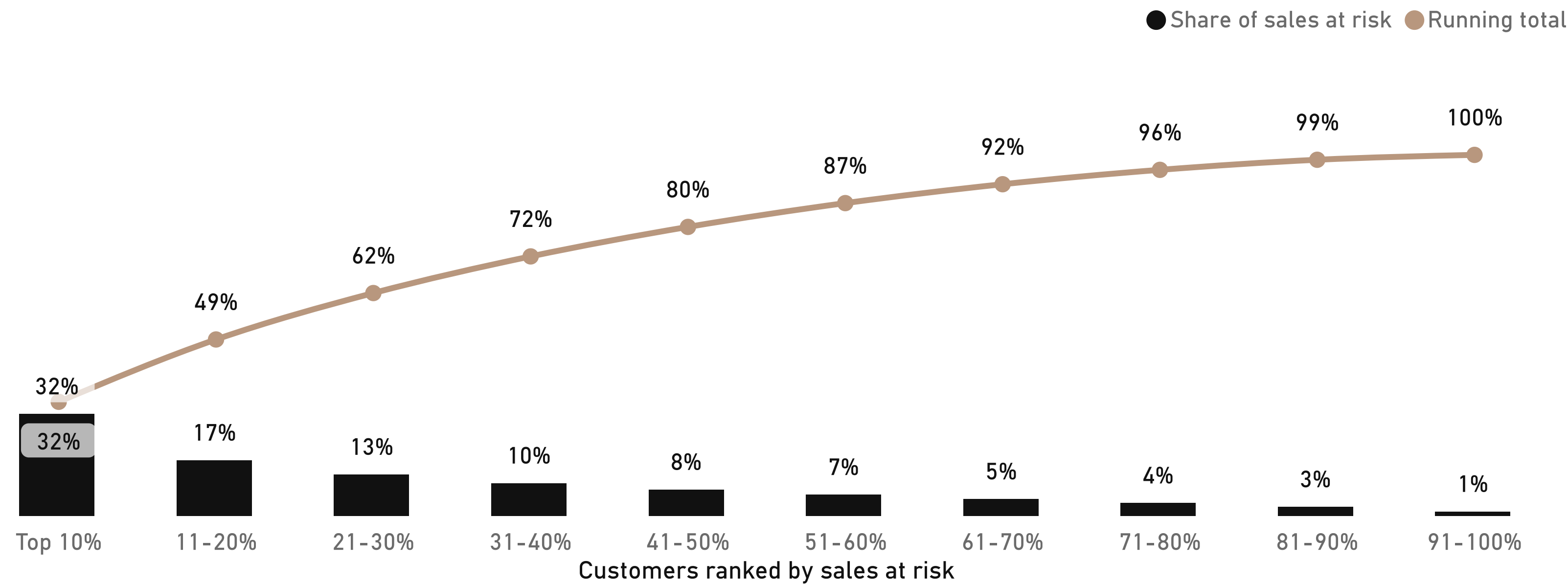
06

WHERE SHOULD WE ACT?

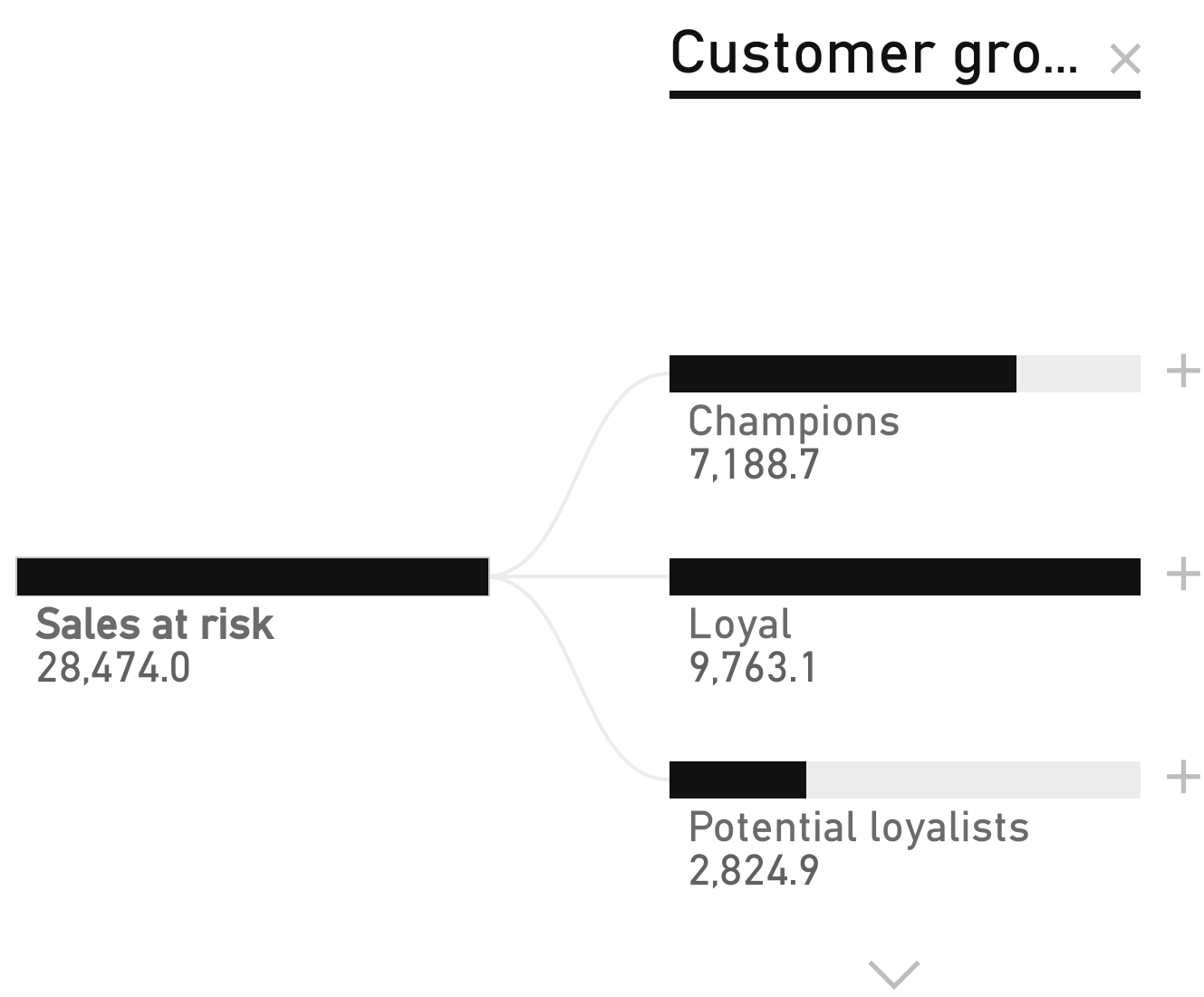
H&M customers: the top 10% of customers hold 32% of the sales at risk

Sales at risk = chance of stopping * a quarter of last year's spend · pick a save rate below to test a retention campaign · prices scaled by H&M

The top 10% of customers hold 32% of sales at risk; the top 30%, 62%



Customers who shop only online hold 46% of sales at risk



Keep 10% of likely leavers and we protect 2.7% of quarterly sales



53K

Customers kept

Of 526K likely to stop

2.7%

Quarterly sales protected

Out of 27% at risk

99K

Customers to contact first

They hold 32% of sales at risk

Start with Loyal: 34% of sales at risk

Customer group	Sales at risk	What to do
Loyal	34%	Thank them and suggest new categories
Champions	25%	Reward with early access, not discounts
Needs attention	13%	Personal picks based on past buys
Potential loyalists	10%	Nudge a third order with a bundle
Hibernating	8%	Low-cost reminder emails only
At risk	7%	Win-back offer within two weeks
Lost	1%	Don't spend; let them go
New or occasional	1%	Welcome series and a second-order offer

THE NUMBERS

31.6%

Sales at risk in the top 10%

Just 99K customers

27.2%

Quarterly sales at risk

If nothing changes next quarter

526K

Likely to stop buying

Out of 993K recent customers

34%

Biggest pocket of risk

Loyal customers

FILTER BY AGE

16-24

25-34

35-44

45-54

55-64

65+

N/A

NOTES

How this report was built, and how to read it

Every number is calculated from the data and updates on refresh · aggregates only, no customer IDs · data refreshed monthly

About the data

Source. H&M Personalized Fashion Recommendations on Kaggle: real H&M club members, their purchases and the product catalog. Used for non-commercial, portfolio purposes only; the raw data is not published.

Period. September 2018 to 22 September 2020. The last month is partial. COVID is counted from 1 March 2020.

Prices. H&M scaled all prices, so sales figures are relative, not real currency. Shares and comparisons are still valid.

Privacy. The report shows totals and percentages only. No customer IDs reach Power BI.

How it's built

BigQuery stores the data, Dataform models and tests it every month, BigQuery ML predicts who will stop buying and what they'll spend, and Power BI tells the story.

Full build, SQL and model code:
github.com/zulhaq-analytics/fashion-customer-analytics-bigquery

Words used in this report

Stopped buying. No purchase in the 3 months after a given date.

Came back. Bought again in a later month, counted from the month a customer first bought.

Best customers. The 'Champions' group: bought recently, often, and spent the most. Groups use recency, frequency and spend scores of 1 to 5.

Sales at risk. Chance of stopping * a quarter of the customer's spend over the past year.

Same season. COVID months (Mar to Sep 2020) compared with the same months a year earlier, so seasons don't skew the comparison.

Price groups. Products split into five equal bands by average price.

Read with care

Club data. Members lean online (46% online only vs 19% store only), so this is not all H&M shoppers.

Early joiners. Customers who 'joined' before Mar 2019 include people who shopped before the data starts, so return rates for those months are left out.

The model. Trained on Sep and Dec 2019, tested on unseen Jun 2020: right 73% of the time vs 56% by guessing; finds 82% of those who stop.

Actions. Suggested next steps are an analyst's view, not H&M policy.

AT A GLANCE

1.37M

Customers

Club members with a customer record

31.8M

Items bought

Every item bought online or in store

106K

Products

Products in the H&M catalog

25

Months of data

Sep 2018 to Sep 2020